

ECUM business model

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Introduction

- A **business model** is a plan of activities designed to make a profit.
- It explains **how a company makes money** and where it fits in the value chain.
- An **e-commerce business model** uses the unique advantages of the **Internet, Web, and mobile platforms** to make business more efficient.

Elements of a Business Model

Even in traditional or e-commerce, a successful business model must cover these key elements:

1. Value Proposition

- Shows **how a product or service meets customer needs**.
- In e-commerce, this often includes:
 - **Personalization and customization** (e.g., Amazon recommending books based on your past purchases).
 - **Reducing search costs** (e.g., comparing prices online instead of visiting multiple stores).
 - **Facilitating transactions** (e.g., fast delivery and easy checkout).
- **Example:** Buying a book in a physical bookstore vs. ordering it on Amazon with delivery to your home.

2. Revenue Model

- Explains **how a company earns money and makes profits**.
- Profit alone isn't enough; the business should **produce better returns than other investment options**.
- **Example:** Amazon earns revenue by selling products, charging subscription fees (Prime), and earning advertising income.

3. Market Opportunity

- Refers to the **target market** and the potential financial gains in that market.
- It includes identifying **smaller market segments** where the company can compete.
- **Example:** A company selling eco-friendly products may focus on urban youth as its primary market, while also targeting niche segments like offices and schools.

4. Competitive Environment

- The competitive environment is made up of **other companies selling similar products** in the same market.
- **Direct competitors:** Sell almost the same products in the same market segment.
 - **Example:** Flipkart and Daraz both selling electronics online in Nepal.
- **Indirect competitors:** Companies in different industries but whose products can substitute for yours.
 - **Example:** A movie streaming service (Netflix) vs. a cable TV subscription — different products, but compete for entertainment time and money.

5. Competitive Advantage

- A company has a **competitive advantage** when it can:
 - a. Produce a **better product**, or
 - b. Sell the product at a **lower price** than most competitors.
- **Example:** Xiaomi offers good-quality smartphones at lower prices than Samsung or Apple, giving it a competitive edge in price-sensitive markets.

Ways Firms Achieve Competitive Advantage (2080)

1. Asymmetry

- When one firm has more resources, information, or market power than another.

- Example: **Daraz** has more customer data and reach than a small local shop, so it can personalize ads and attract more buyers.

2. Complementary Resources

- Using resources that work better together.
- Example: **Apple** combines its iPhones with iOS, App Store, and iCloud. Together, they make the product more valuable than just the phone alone.

3. Perfect Market (Information Transparency)

- E-commerce reduces info gaps — everyone can see prices, quality, and reviews.
- Firms gain advantage by being the **most efficient or trustworthy**.
- Example: **Amazon** shows product ratings and delivery times, making customers trust and choose it over shady websites.

4. Leverage

- Using what you already have (brand, tech, network, data) to expand into new areas.
- Example: **Google** leveraged its search engine user base to launch Gmail, Google Maps, and Google Drive successfully.

6. Market Strategy

- A business fails if its products or services are **not promoted properly**.
- Everything a company does to attract and inform customers is called **marketing**.
- **Example:** Social media ads, email campaigns, and influencer promotions for a new clothing brand.

7. Organizational Development

- This is the plan for **how work is organized** in the company.
- Usually divided into functional departments like **production, shipping, marketing, customer support, and finance**.
- **Example:** Amazon has separate teams handling warehousing, logistics, marketing, and customer care to run efficiently.

8. Management Team

- A **strong management team** makes the business credible to investors.
- They need **market-specific knowledge** and experience in implementing plans.
- While a strong team **cannot fix a fundamentally weak business model**, they can **adapt the model and redefine the business** if needed.
- **Example:** The early Amazon team redefined its business model from just selling books to becoming a global e-commerce platform.

Types of Revenue Models

1. Advertising Model

- Companies provide content, services, or products **and also allow ads** on their platform.
- They earn money from advertisers who pay to show ads.
- **Example:** Google and YouTube make a huge part of their revenue from display and video ads.

2. Subscription Model

- Customers pay a **regular fee (monthly/annual)** to access content or services.
- **Example:** Netflix charges a subscription fee for unlimited video streaming.

3. Transaction Fee Model

- The company charges a **small fee each time a transaction happens** on its platform.
- **Example:** eBay takes a transaction fee from sellers when their item is sold.

4. Sales Model

- The company makes money by **directly selling goods, information, or services**.

- **Example:** Amazon earns revenue by selling physical products online.

5. Affiliate Model

- A company earns money by **referring customers to another business**.
- They get a **referral fee or a percentage** of the sales made through their link.
- **Example:** Bloggers or YouTubers promoting products via Amazon Affiliate links.

B2C (Business-to-Consumer) Business Models

1. E-tailer (Online Retailer)

- Online version of a retail shop.
- Customers browse products, place orders, and pay online.
- **Example:** Amazon, Daraz (in Nepal), Flipkart.

2. Community Provider

- Creates an online space where people with similar interests can **connect, share, and sometimes buy/sell products**.
- Makes money through ads, premium features, or event promotions.
- **Example:** Facebook, LinkedIn, Twitter.

3. Content Provider

- Provides digital content like **music, video, news, books, or artwork**.
- Revenue comes from subscriptions, ads, or selling digital goods.
- **Example:** Apple Music (subscription), YouTube (ads + premium).

4. Portal

- A website that serves as a **“one-stop shop”** with multiple services—search, news, email, shopping, chat, video, etc.
- Revenue mainly from ads.
- **Example:** Yahoo, MSN, Naver.

5. Transaction Broker

- Helps customers **complete transactions** that usually require physical presence, phone, or mail.
- Earns money through **transaction fees or commissions**.
- **Example:** Booking.com (hotel reservations), eSewa/Khalti (bill payments).

6. Market Creator

- Provides a digital **marketplace where buyers and sellers meet**.
- Makes money by charging **commission per sale** or access fees.
- **Example:** eBay, Fiverr, Daraz (for third-party sellers).

7. Service Provider

- Provides **services instead of physical products** online.
- Revenue from fees, subscriptions, or ads.
- **Example:** Zoom (video meetings), online medical consultations, Grammarly.

B2B (Business-to-Business) Business Models

1. Network Marketplaces

These are online platforms where different businesses (vendors and buyers) come together to buy and sell.

1. E-Distributors

- **What it is:** One company owns the platform and sells directly to many businesses.
- **Key Point:** Like a wholesale shop online — one seller, many buyers.
- **Example:**

- **Grainger.com** (industrial tools and supplies).
- **Daraz Business Section** (Daraz sells products directly to companies).

2. E-Procurement

- **What it is:** A platform that helps companies find, compare, and purchase goods/services easily.
- **Key Point:** It's like a **shopping tool for businesses** to save time and cost.
- **Example:**
 - **Ariba (by SAP):** companies use it to manage purchasing.
 - **eSewa for bulk bill payments:** firms can pay electricity, water, and internet bills at once.

3. Exchange Market

- **What it is:** An **independent marketplace** where many suppliers meet big buyers.
- **Key Point:** Usually for **raw materials or industrial inputs**, often short-term contracts.
- **Example:**
 - **ChemConnect** (for chemicals).
 - **Alibaba Raw Materials section** (factories buying steel, plastics, etc.).

4. Industry Consortium

- **What it is:** Marketplace **owned by companies of a specific industry**.
- **Key Point:** Firms within the same industry create it to trade and collaborate.
- **Example:**
 - **Covisint** (car companies created it for automobile parts and info sharing).
 - A group of **airlines making a joint platform** for spare parts exchange.

2. Private Industrial Networks

- A **private online system** created by a big company for its suppliers and partners.
- Main goal: share info about orders, deliveries, and inventory in real time.
- Covers about **75% of B2B trade** worldwide.
- **Example:** Walmart's Supplier Network (suppliers log in daily to see sales, track shipments, etc.).

Electronic Data Interchange (EDI)

- **Definition:** EDI is a **standard way of sharing business documents electronically** between companies, government offices, or other organizations.
- It replaces manual processes (like paper-based invoices or purchase orders) with **computer-to-computer communication**.
- **Purpose:** Saves time, reduces cost, and avoids errors caused by manual paperwork.
- **Use:** Mostly applied in **B2B transactions** (business-to-business).

Examples of EDI documents:

- Purchase orders (company ordering raw materials)
- Invoices (bill sent to another company)
- Shipping requests and acknowledgments

Example: A supermarket like **Bhatbhateni** ordering soft drinks directly from **Coca-Cola Nepal** through EDI. The system automatically sends the purchase order, invoice, and shipping details without paperwork or human typing.

EDI Layered Architecture

EDI works in **4 layers**:

1. Application Layer

- **What it does:** Creates and uses business documents.

- **Example:** Bhatbhateni's accounting system generates a **purchase order (PO)** for Coke and sends it to the EDI system.

2. Standard Layer

- **What it does:** Sets a common format so both sides understand the document.
- **Example:** The PO is converted into a **standard electronic format** (like a template) so Coca-Cola's system can read it directly.

3. Transport Layer

- **What it does:** Transfers the documents between companies.
- **Example:** The standardized PO is sent from Bhatbhateni to Coca-Cola **via secure internet transfer**.

4. Physical Layer (Infrastructure Layer)

- **What it does:** Provides the actual connection (network hardware, internet, etc.).
- **Example:** The PO data travels through the **internet cables, servers, and networks** that connect Bhatbhateni and Coca-Cola.

E-commerce and Industry Value Chain (Easy Version)

A **value chain** is the series of steps that add value to a product — from raw material → factory → distributor → shop → customer.

E-commerce makes this chain faster and cheaper by sharing info (like prices, demand, stock) online.

This helps **suppliers, manufacturers, distributors, transporters, retailers, and customers**.

- **Manufacturers:** Cut costs by buying directly from suppliers through online B2B exchanges.
Example: A **car factory** orders tires and seats online from different suppliers at the best price.
- **Distributors:** Use online systems to track and manage stock efficiently.
Example: A **wholesaler** uses an e-inventory system to avoid overstock or empty shelves.
- **Customers:** Compare price, quality, and delivery speed before buying.
Example: On **Daraz or Amazon**, a buyer checks ratings, delivery time, and lowest cost before ordering.

Firm Value Chain

A **firm value chain** is the set of activities a company does to turn raw materials into finished products, adding value at each step.

Focus: Making the company's own processes efficient and competitive.

Five main activities:

1. **Inbound logistics** – Getting and handling raw materials.
Example: A furniture company receives wood from suppliers.
2. **Operations** – Turning materials into products.
Example: Cutting and polishing wood into chairs and tables.
3. **Outbound logistics** – Delivering finished products.
Example: Shipping the furniture to showrooms/retailers.
4. **Sales & marketing** – Promoting and selling.
Example: Advertising furniture on Daraz or social media.
5. **After-sales service** – Customer care after purchase.
Example: Offering warranty or repair services for broken furniture.

Purpose: Improve each step to lower cost, increase quality, and beat competitors.

Firm Value Web

A **firm value web** is when many companies connect their value chains through the internet and work together as a network.

Focus: Collaboration between different firms, not just one company.

Features:

- Flexible and interconnected.

- Uses digital platforms to share info and coordinate.

Purpose: To cut costs, be faster, and give customers a smoother experience.

Example: Amazon's Value Web

- **UPS/FedEx** → Deliver and provide online tracking.
- **USPS** → Handles last-mile delivery.
- **Cloud providers** → Host Amazon's website and data.
- **Sellers** → List and sell products on Amazon Marketplace.

So instead of just Amazon doing everything, it relies on a **web of partners** to create value for customers.